DISPLAYGG.COM

DISPLAY ADVERTISING **GONE BAD**

Avoid **THIS** type of website in your digital display campaigns and improve brand awareness, increase valuable traffic and optimize your ROAS.

This eBook shares **useful** tips to help improve your display ad campaigns, including **PMAX**, **GDN** & more.

Display Advertising Gone Bad – Avoid THIS Type of Website in Your Digital Display Campaigns and Improve your ROAS

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1. Introduction

Importance of Effective Placement on Websites

Display ads are a powerful tool for reaching a broad audience, but their effectiveness and efficiency depends on where they are placed. Placing ads on the right websites ensures that they reach the intended audience, leading to higher visibility, engagement, and ultimately, a better return on ad spend (ROAS). While programmatic display ads are generally considered to be of being higher quality, the Google Display Network has gotten a terrible reputation in the past years. With the recent report by the Association of National Advertisers (ANA), the sentiment towards programmatic display ads is turning sour as well. More than 20% of all impressions are considered to be wasted on so called Made for Advertising (MFA) websites – low-quality content, oftentimes stolen or regurgitated articles and clickbait headlines such as "These 20 celebrities lost all their wealth, number 16 will shock you". We've all seen these types of sites, now we know what to call them. But how do you avoid them in your marketing campaigns without ditching display ads altogether? This eBook will shed light on the problems the industry is facing, explain how they came to be and guide you through the steps of avoiding them in future campaigns.

Numbers and Figures

The programmatic display market is not only huge, it's growing significantly. According to Statista and other sources, for 2024, worldwide programmatic display ad spending is expected to reach somewhere between $250 and $350 billion, which is up over 50% YOY. This growth is driven by the increased use of digital media, advancements in programmatic technology, and shifts in advertising budgets towards automated, data-driven ad buying, especially in connected TV and online video ads.

If we use $300 billion as a reference number, and assume that 15% of ad budget (the aforementioned 20% of impressions are slightly cheaper, so they don't account for 20% of the budget) is spent on MFA websites, that means that $45 billion are wasted by advertisers in 2024. As if it weren't bad enough advertisers are wasting a significant portion of their budget on ineffective websites, they pollute the environment as well, as we'll discuss later in this eBook. As some of our tests show, some of these websites produce three times as much CO2 as the average website, making them harmful to both the advertiser and the planet. And let's not forget the potential harm by reputational risks.

A Short History of Display Ads

The first banner ad appeared in 1994 on HotWired, achieving an impressive 44% click-through rate. This success marked the beginning of a new era in advertising, shifting focus from traditional media to the digital realm. Advertisers quickly recognized the potential of the internet as a platform for reaching broader audiences.

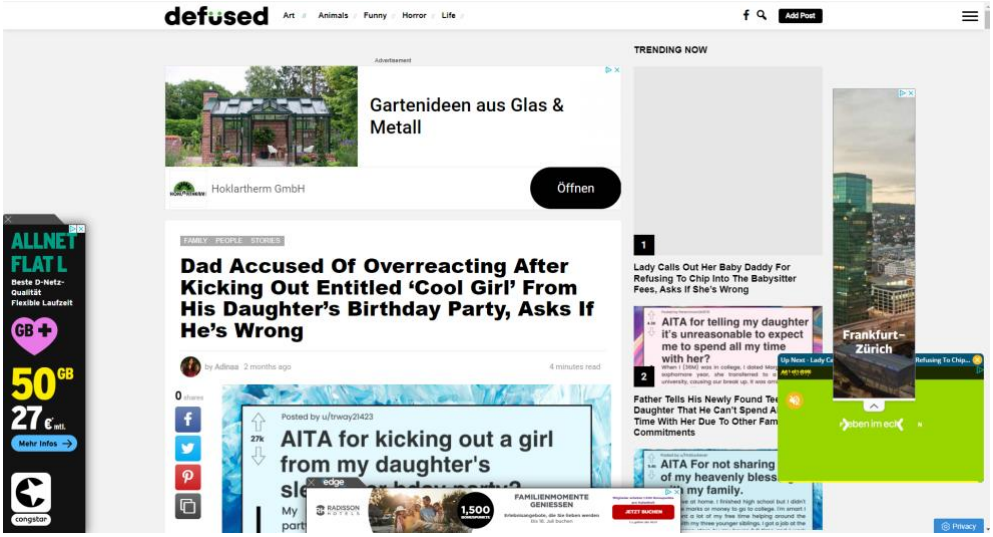
With the advent of programmatic advertising and real-time bidding in the mid-2000s, the efficiency and targeting capabilities of display ads improved dramatically. By leveraging vast amounts of data, advertisers could reach specific audiences more precisely. The rise of social media and mobile platforms further expanded the reach and impact of display advertising. With the technological advances came issues as well. Today, the industry faces ongoing challenges related to brand safety/suitability and ad fraud. Whereas in the 90s, you would have a tough time finding a bunch of websites with enough reach to make it worth investing in ads, 3 decades later you are being flooded with different ad environments, fighting for both attention by users and budgets by advertisers. The sheer number of websites, channels and apps makes it pretty much impossible to monitor, unless helped by tools like AI.

Vintage Banners on Vintagecomputing.com

Identifying Bad Websites

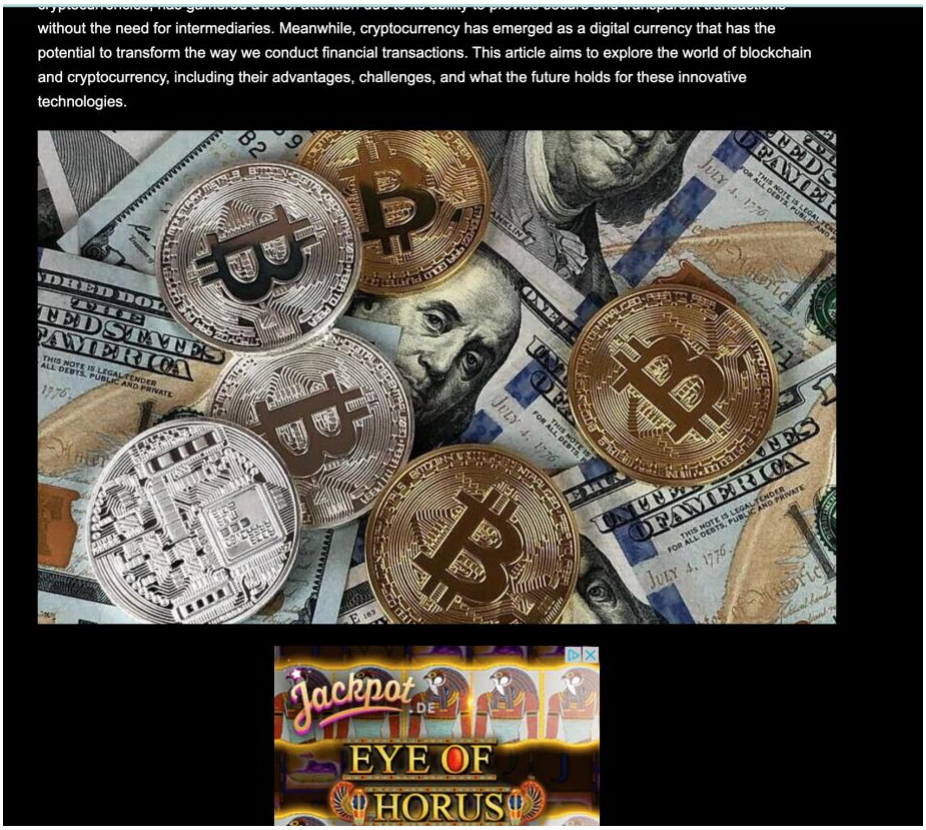
To maximize the effectiveness of display ads, it's crucial to avoid placing them on websites that could negatively impact your brand. Here are some types of websites to steer clear of:

- Made-for-Advertising Websites: These sites are created solely to host ads and often lack valuable content. They are designed to generate revenue through ad impressions and clicks, but they provide little to no meaningful engagement for the user. Ads placed on these sites are unlikely to reach a quality audience, resulting in wasted ad spend.



Typical example of ad clutter

- Micro-Niche Websites with low value: While niche websites can sometimes offer targeted audiences, those that are overly specific or poorly maintained may not provide meaningful engagement. These sites often have shallow and minimal content, making them poor choices for ad placements.



Shallow content with generic pictures

How These Websites Are Made

- Automated Content Generation: Many of these websites use bots to scrape content from other sources or generate low-quality content automatically. This allows them to fill pages quickly without offering real value to users.
- Ad Clutter: These sites are often designed with an excessive number of ad placements, prioritizing revenue over user experience. The result is a cluttered interface that can overwhelm visitors and reduce the effectiveness of individual ads.
- Clickbait Tactics: Sensational headlines and misleading thumbnails are common tactics used by clickbait sites to attract visitors. These sites prioritize clicks over content quality, leading to a poor user experience.

Avoiding these types of websites is essential to protect your brand's reputation and ensure your ad budget is spent effectively. By focusing on high-quality placements, advertisers can achieve better engagement and higher ROI.

2. Understanding the Importance of Context in Display Ads

The context in which your ads are showing can significantly impact the effectiveness of your campaign. Two catchwords come to mind: brand safety and brand suitability. In this section, we'll look at examples for each and how they impact campaign success. We'll also give you guidelines how to steer away from reputational dangers and how to increase the suitability of your ad placements.

Brand Safety vs. Brand Suitability

- Brand Safety: Focusing on protecting the brand from appearing alongside harmful or inappropriate content. Examples include avoiding websites with explicit content, fake news, or hate speech.

- Brand Suitability: Ensuring ads appear in environments that are not only safe but also contextually appropriate and relevant to the brand's image and message. For example, a luxury brand should avoid appearing on websites that are geared towards children.

Brand safety is usually not something a brand has to deal with on a regular basis; however, the (reputational) damage, when an incident occurs, tends to be larger. Brand suitability on the other hand is not so much a reputational hazard, but rather a constant money drainer. It oftentimes goes undetected, as nobody "blows the whistle" on the advertiser. Therefore, brand suitability might be an even bigger threat to marketing budgets.

How (Lacking) Brand Suitability Affects Campaign Performance

Imagine reading an interesting, engaging article about a topic you just searched for, let's say a commentary about a vacation destination you want to visit. At the end of the article there's a banner for airplane tickets.
Now imagine switching tabs to a different travel website, only this time, the article is much shorter, with random stock pictures in between, and a lot of ad clutter on the website. You might have seen a dozen ads by the time you reach the end of the article, one of which is the same ad as before.
Which ad is more likely to attract a click from you? The one that was displayed by itself, or the one that was in between eleven other ads? I think the answer is clear.
The attention span of internet users nowadays is short, the more clutter is on the website, the less brand awareness you'll get. This will subsequently result in less traffic and fewer sales. Another issue with these websites is higher instances of bot traffic. On paper, these bots are even able to engage with your website – filling out forms, clicking on links, watching videos. Advertisers might not even realize they're wasting money, as onsite metrics look fine.

Tip: Look for unrealistically high CTRs or low CPM/CPAs. If your conversion is not sales-related (such as newsletter subscriptions, job applications etc.) try to determine the number of invalid ones.

3. Why MFA-Websites Suck for Advertisers

In order to understand why MFA websites perform worse than "regular" websites, let's look at them in terms of a simple marketing funnel.

1. **Awareness**: You want your ads to be visible, so they get noticed and remembered by relevant users.
2. **Traffic**: You want traffic and consideration for your product, with low bounce rates and high dwell times (time-spent-per-visit).
3. **Action**: You want to achieve conversions, be it qualified leads, newsletter subscriptions or sales.

Sales are hard to fake, so if a site performs well in terms of sales, it's unambiguous. But what if I told you, all the other actions can be performed by bots?

Bots

Bots can obviously visit a site and generate an impression on a banner ad, that checks off awareness. They can click on the ad, and scroll on the website and go through the pages, that checks traffic. Finally, bots can fill out lead forms, subscribe to newsletter or even watch videos.

Here's how they typically operate:

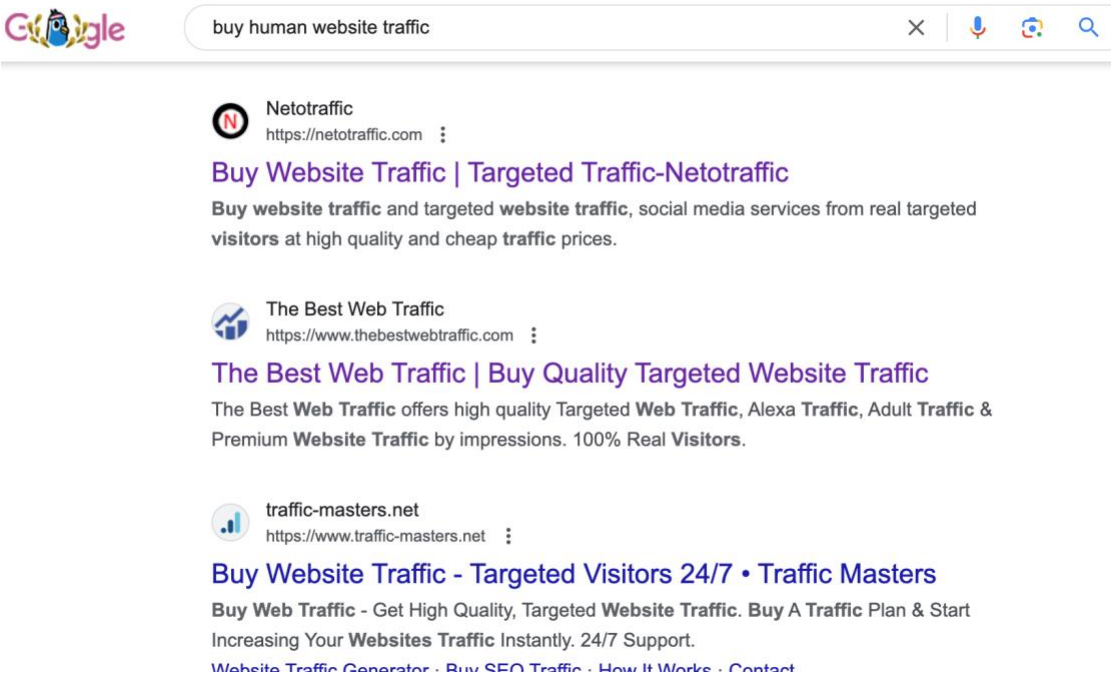
1. **Bot Creation**: Fraudsters develop bots using programming languages like Python or JavaScript. These bots are designed to simulate human actions, such as navigating websites and entering data into forms.
2. **Form Crawling**: Bots are programmed to identify and access lead generation forms on targeted websites. This can be done by crawling the web or using specific URLs provided by the fraudsters.
3. **Data Submission**: Once a form is identified, the bot fills in the required fields with fabricated or stolen information. This data can include names, email addresses, phone numbers, and other details commonly requested in lead forms.
4. **CAPTCHA Circumvention**: Many websites use CAPTCHAs to prevent automated submissions. Advanced bots use techniques like CAPTCHA-solving services, image recognition, or even machine learning algorithms to bypass these security measures.
5. **IP Rotation**: To avoid detection, bots often use IP rotation, where they switch between different IP addresses to make each submission appear as if it's coming from a unique user. This can be achieved through proxy servers or VPNs.
6. **Behavior Simulation**: To further evade detection, bots can be programmed to mimic human behavior patterns, such as randomizing the time taken to fill out forms, clicking around the site before and after form submission, and even simulating mouse movements and keystrokes.
7. **Automated Submission**: The bot submits the completed form, and the fraudulent data is sent to the target company's database as a new lead. This can happen thousands of times in a short period, overwhelming the system with false leads.

So, unless you are measuring sales, you can't be certain your ads have an effect if your traffic comes from questionable sources. In order to rule out trickery, you have to know your ad environments well.

Click Farms

Screenshot from China Observer on YouTube

Click farms are operations where a large number of low-paid workers, often in developing countries, are hired to click on ads, like social media posts, or manipulate online engagement metrics to artificially inflate the perceived popularity or performance of a product or service. These operations are typically set up in large warehouses or similar spaces where workers use multiple devices to generate the clicks. What's tricky is that click farms can also utilize automated software to perform clicks, making it difficult for detection systems to distinguish between real user engagement and fraudulent activity, all while operating on a massive scale.



Services that offer fake traffic are plentiful

Tip: Reputable websites usually have less invalid traffic, focus your ad budget on those. By utilizing inclusion & exclusion lists, using bid adjustments and separating certain website types, you can improve monitoring and increase efficiency.

4. Brand Safety Disasters – and How to Avoid Them

Considering that most advertisers run on placement lists of more than 40.000 websites and apps, it's safe to assume that most placements go unchecked. The long tail of a placement list, with only a fraction of the impressions, might still contain tens of thousands of websites. Each producing only a few impressions, running under the radar – till the wrong person stumbles upon them.

The Register

IBM pauses advertising on X after ads show up next to antisemitic content

Twitter, meanwhile, tells us its brand safety controls are just as strong – or stronger – than other platforms

Brandon Vigliarolo

Fri 17 Nov 2023 // 16:01 UTC

UPDATED IBM has paused advertising on X after reports emerged that its ads had been served alongside antisemitic content on the platform.

"IBM has zero tolerance for hate speech and discrimination and we have immediately suspended all advertising on X while we investigate this entirely unacceptable situation," Big Blue confirmed to *The Register.*

The move appears to have been triggered by a report from Media Matters published yesterday that found ads from IBM, as well as Apple, Oracle, Xfinity, and Bravo, next to "pro-Nazi content." Bravo is a US cable network owned by Twitter-slash-X CEO Linda Yaccarino's former employer, NBCUniversal, where she was previously the chairman of global advertising and partnerships.

It's unclear whether the other companies have also paused advertisements. We contacted those whose ads were flagged by Media Matters, but haven't heard back from any except IBM. We also wonder if those ditching ads on Twitter are doing the same on other social networks, such as TikTok.

Media outlets reporting on bad ad placements – from TheRegister.com

Watch Dogs

Brand safety is important in the digital advertising landscape, because a single misstep can tarnish a brand's reputation irrevocably. Being called out by users on X or Reddit, or getting scrutinized by watchdog organizations certainly doesn't sound like it's helpful to the publicity efforts of a brand. It not only risks alienating a significant portion of your customer base but also invites public backlash and negative press. Such exposure could lead to a perception that your brand endorses the views presented on these sites, whether or not that's true. In a climate where consumers are increasingly vigilant about the ethical stances of the brands they support, ensuring your ads do not appear on these outlets is crucial. Utilizing tools like Display Gate Guard can help advertisers maintain both brand safety and suitability by leveraging AI to meticulously scan and categorize ad placements, effectively shielding your brand from such inadvertent associations.

Harvard Business Review

Are Your Ads Funding Disinformation?

The global digital advertising industry is estimated to be $600 billion and growing. While Facebook and other social media sites are popular...

21 Aug 2023

AdExchanger

Exposing Ad Tech's Dirty Laundry

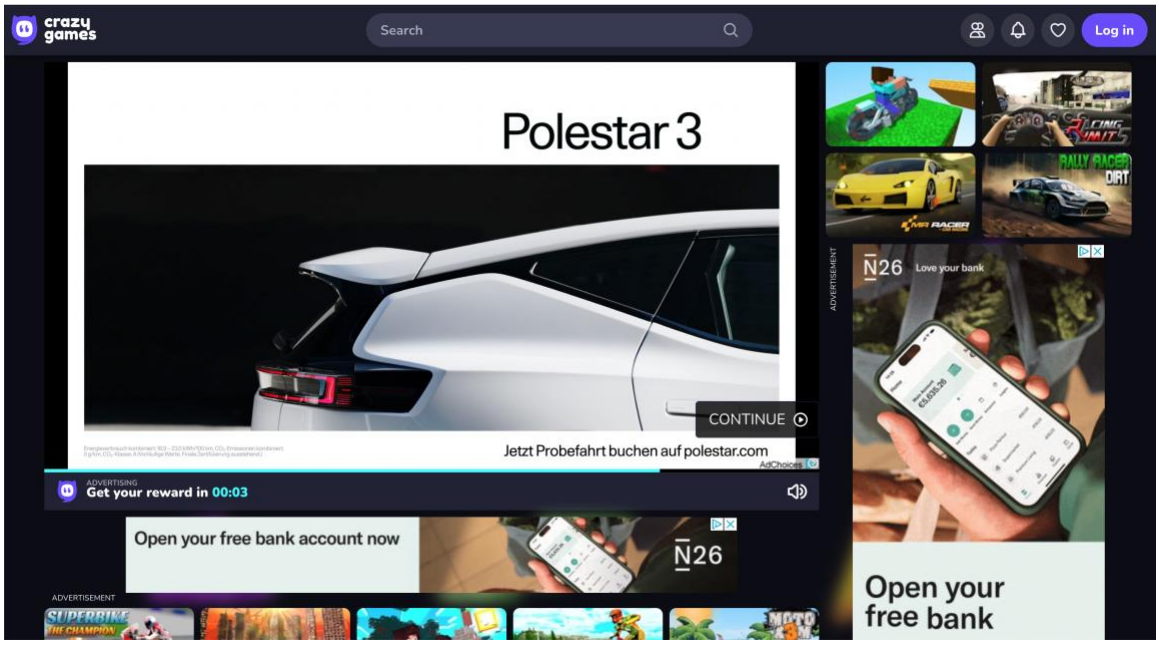
Jammi is co-founder of Check My Ads Institute, the ad tech industry's first independent nonprofit watchdog. It launched in 2021 with the goal of defunding...

22 Aug 2023

Tip: Pay close attention to websites that deal with politics, news or current events. If you are unsure about a specific website, put its name into a search engine and add keywords like "controversial" – if a website is considered controversial and potentially dangerous, you'll find articles and posts about it.

5. Brand Suitability – Safe but Not Sound

Brand suitability for display ads can be a significant money drainer rather than a reputational risk due to the inherent inefficiencies and misalignment with target audiences. While ads for luxury items placed on kids websites may technically be "safe," (and oftentimes cheap) they obviously fail to engage effectively with the intended audience, resulting in poor engagement. In essence, while these placements may not harm the brand's reputation, they significantly dilute the impact and efficiency of advertising budgets, diverting funds away from more productive and relevant placements.

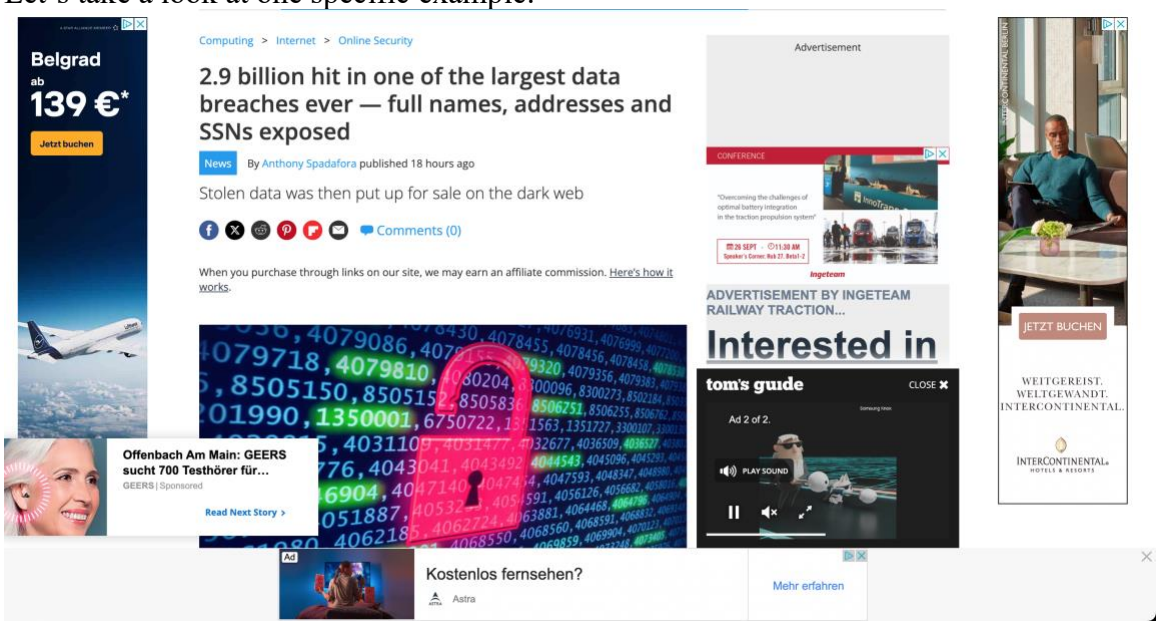


High ticket product ad on a games-website

6. How CO2 Emissions Negatively Correlate with Brand Awareness

Have you ever opened up a website, and the fans on your computer started rumbling as if they were preparing for takeoff? Loading all elements and ads consumed so much energy that your CPU started overheating. One reason, why websites consume a lot of energy, is that they clutter their pages with ads, oftentimes animated, and changing them frequently. According to the Website Carbon Calculator (Websitecarbon.com), the average web page they test produces approximately 0.5 grams of CO2 per pageview.

Let's take a look at one specific example:



Ad clutter, quickly reloading elements and auto-playing videos

According to WebsiteCarbon.com, this particular page produces 1.62 grams of CO2 every time someone visits this page, so more than three times the normal amount. Did you notice all the ads that are visible on this page? Some of them are static, some are animated, some are actual videos. The fan on my MacBook was about to explode. Considering that there are six visible ads on the page in the screenshot, it's safe to assume that each ad only got one sixth of your attention, thus producing low brand awareness despite being fully visible while you are reading the headline (if you didn't get an epileptic seizure). Each ad contributed to the energy consumption, which resulted in 1.62 grams of CO2 being produced.

This doesn't mean that you have to particularly look for websites that produce a lot of CO2. It just shows, that certain websites aren't just bad for your ad budget, they are bad for the environment as well.

Tip: Look for websites with a high ad load. If your device gets hot or the fans run wild, the website you are visiting is using up a lot of energy.

7. How to Spot Bad Placements on a Large Scale

A good first step in assessing your ad placements is utilizing page rank. PageRank is an algorithm developed by Larry Page and Sergey Brin, the founders of Google, to rank web pages in their search engine results. The algorithm assigns a numerical weighting to each element of a hyperlinked set of documents, such as the World Wide Web, with the purpose of measuring its relative importance within the set. PageRank works by counting the number and quality of links to a page to determine a rough estimate of the website's importance. The underlying assumption is that more important websites are likely to receive more links from other websites. It utilizes a recursive algorithm, considering not just the number of incoming links, but the rank of the pages that link to it, thereby creating a system where the importance of a page is influenced by the importance of the pages linking to it.

While page rank gives you a good first impression on the quality and authority of a website, it doesn't give any clues as to what category a website falls under, if it is controversial, hyperpolitical or otherwise potentially harmful. Also, smaller and lesser known website tend to have a low page rank, despite possibly being more valuable than larger, better known websites.

That's why we try to get a deeper understanding of a website using AI. A human being can check only so many websites, whereas an AI can gather summarize results in a heartbeat. By categorizing placements, we get a good first impressions which environments are relevant for your brand and your product. For websites that fall under the categories political, news or current affairs, we would take a deeper look. Is the website controversial? Is it hyperpartisan or hyperpolitical? Is it conspiratorial? After going through all those websites and flagging those that might be dangerous, we continue

with safe but unsuitable environments. Those might include childrens websites, if the product is geared towards an adult audience. Other examples for unsuitable environments might include gossipy websites, meme websites or classic Made-for-Advertising websites.

8. Case Study – Real Results from Real Campaigns

Let's look at how optimizing ad placements can improve real KPIs. There are numerous ways to assess the success of your campaigns. When examining brand awareness, the first KPI that comes to mind is CPM. The tricky part about MFA websites is, that they oftentimes "hide" in the middle of the list. They are not the cheapest and not the most expensive placements, which is why they tend to go unnoticed. However, considering that a website with massive ad clutter produces low brand awareness, and **zero** brand awareness in the case of ad stacking – you could discount most of those impressions, which effectively renders your CPM much higher. Even better would be to assess the traffic coming from a website, but not by looking at the CPC, which again, can be manipulated or misrepresenting reality. A better option would be to look at on-site metrics like bounce rate or dwell time (time-spent-per-visit). These metrics give you an idea of whether the traffic that is coming to your website came accidentally or with purpose. If a website is plastered with ads, misclicks might happen more often which would result in a higher bounce rate. The absolute best metric to assess traffic is to look at the quality of conversions. As mentioned before, sales are hard to fake. However, lead forms, newsletter subscriptions and even applications are actually quite easy to fake. Both bots and click farms can perform these tasks, and already do so on a massive scale.

In our example, we will look at both on-site metrics and conversion events. In a campaign for a large European rail company, we've achieved the following results when comparing an older campaign with a specific targeting without using an inclusion list, and one with using a curated inclusion lists only including high quality websites:

1. **Bounce Rate:** The bounce rate decreased by 8%, suggesting that users who clicked on the ad did so with purpose
2. **Dwell Time:** The time-spent-per-visit increased by 20%, which in this particular case meant almost a difference of a minute.
3. **Sales:** With more valid users clicking on the ads, sales, despite not being the main objective of the campaign, doubled.

Why does the campaign with the inclusion list perform so much better? In this particular case, traffic was the main objective of the campaign. When algorithms optimize on traffic, they don't distinguish between bots, accidental clicks or clicks from click farms. The algorithm just tries to achieve the best CPC with the given targeting. Users that immediately close the tab after visiting the page are basically treated the same as users that engage with the site.

9. How Display Gate Guard Finds the Bad Apples in Your Display Campaigns

Selecting the right websites for your display ads can significantly impact your campaign's success. To boost brand awareness, drive valid traffic, and optimize return on ad spend, it's essential to place your ads on credible and relevant sites. That's why we've created Display Gate Guard. We thoroughly scan your entire placement list, evaluating each site against several key factors. Here's how each factor can help you refine your website placements and increase the effectiveness of your display ads:

1. **Controversial Websites**

Controversial websites often draw attention because of their polarizing content, but this attention can be negative. Ads on these sites may inadvertently link your brand to contentious issues, potentially harming your reputation. In the worst-case scenario, your ads might appear on sanctioned websites, as recently highlighted by Deutsche Welle (DW). Our tool helps you avoid these risks by identifying and flagging controversial sites, ensuring your brand maintains a positive and neutral image.

2. **Hyperpolitical and Extremist Websites**

Websites with hyperpolitical or extremist content can be particularly damaging to your brand. Aligning with such sites, even unintentionally, can alienate potential customers and spark backlash. It might be expected that major tech companies would prevent their customers' ads from appearing on these sites, but as reported by The Guardian, this isn't always the case. By scanning for these websites, we help you avoid placements that could associate your brand with divisive or extremist views, protecting your brand's integrity and appeal.

3. **Websites That Contain Adult Content**

Adult content websites tend to attract an audience that may not align with your brand's target demographic. Additionally, advertising on these sites can create a perception of impropriety and damage your brand's image. Similar to the issue of ads appearing on sanctioned sites, ads may also sometimes appear on pornographic and explicit websites, as reported by CampaignUS.

4. **Websites That Contain Content About Guns and Firearms**

Depending on your brand's values and target audience, websites that focus on guns and firearms may not be appropriate for your ads. These sites can be controversial and may not resonate with all consumer segments. Our tool helps you identify and exclude these sites from your placement list, ensuring your ads align with safer and more broadly accepted content.

5. **Websites That Revolve Around Kids Content**

While websites focused on kids' content can be beneficial for brands targeting families and young audiences, they may not be suitable for all products or services. Although rarely a brand safety issue, placing ads on these sites can diminish brand suitability if your product is aimed at an older demographic.

6. **Websites That Deal With Gambling**

Gambling websites can be problematic due to their association with addiction and financial instability. Advertising on these sites can damage your brand's reputation and alienate customers who disapprove of gambling. Products advertised on these sites are also often perceived as low quality.

7. **Made-for-Advertising Websites, Including Low-Quality Articles and Clickbait Headlines**

One of the biggest drains on advertising budgets is websites created solely for advertising, often filled with low-quality articles and clickbait headlines. These sites can not only lower the perceived value of your brand but also generate low brand awareness and invalid traffic due to ad clutter and bots. They also often provide poor user experiences, leading to high bounce rates. By identifying and excluding these sites, our tool ensures your ads are placed on reputable, high-quality websites that enhance your brand's credibility and improve awareness, traffic, and sales metrics.

8. **Number of Ad Slots on a Website - In Comparison to the Amount of Actual Content**

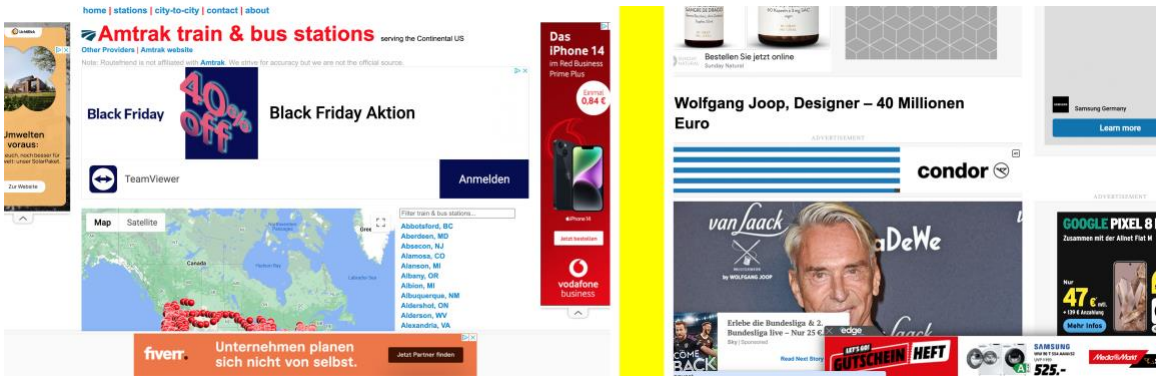
By analyzing the number of ad slots and comparing them to the amount of actual, valuable content, we can gauge how engaged the website's audience might be. Imagine reading a detailed, in-depth analysis on a topic of interest, followed by a display ad. You're more likely to notice the ad than if you'd read a shallow, three-paragraph article cluttered with five ads. While having many ads on a website isn't necessarily bad, there should be enough valuable content to keep the user engaged and interested. Ad clutter, however, should be avoided at all costs.

How Does the Algorithm Work?

Depending on the different aspects we scan for, we are using a number of prompts to get an objective opinion on a website. Whereas getting an unbiased judgement on the question, whether or not a website contains content about guns or gambling, is fairly simple, it might not be as unanimous when asking about controversy or political orientation. We therefore use a very strict set of guidelines which leaves very little room for interpretation and variance. In the case of controversy, the AI takes into account what it can publicly find on a publisher or website.

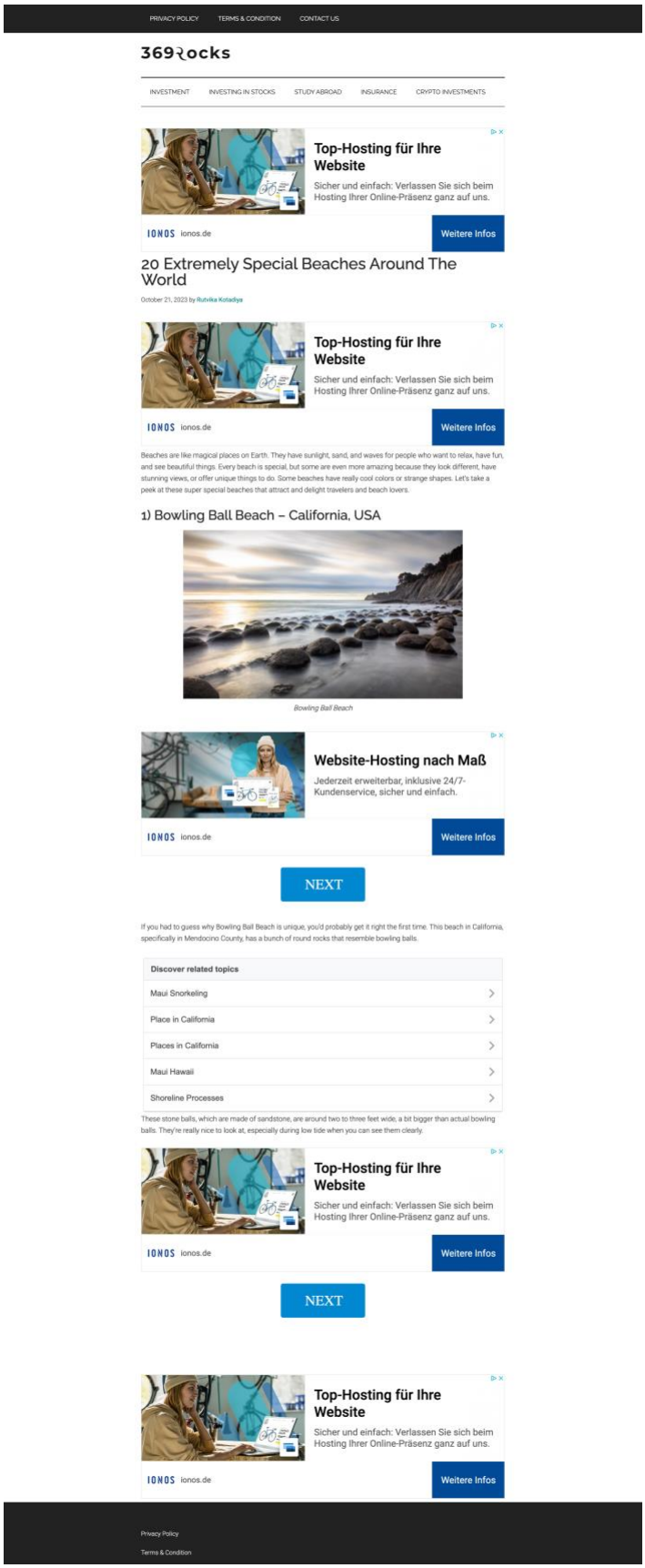
Determining whether or not a website is an MFA website can be just as subjective. By determining what aspects to look for in a website, we increase objectivity in the results. Those aspects may include things like website structure, depth of articles and the authority of a website. The algorithm is trained to understand the context of the articles and identify clickbait headlines, low-quality or repetitive content. These sites also typically have a high ad-to-content ratio, with intrusive ads like pop-ups, auto-playing videos, multiple banners and rapid ad refresh rates that overwhelm the user experience and maximize accidental clicks rather than provide value to the user.

These sites look different for different advertisers. Whereas a health care provider might appear on websites that deal with those topics and look a certain way, a logistics company might appear on entirely different websites, with different structure and functionality. On first glance, they might look appropriate and legitimate. Looking at an actual example below, you can see that one seems to be offering a functionality, the other is just text and pictures. The functionality of the one on the left is simply copied from the original Amtrak website. The text and pictures of the one on the right are likely regurgitated from other websites, as this type of article appears in the thousands online. Both have a high ad to content ratio, which is clearly visible with multiple ads plastered around the sites.



Two different types of MFA Website – Logistics vs. Gossip

Utilizing Natural Language Processing (NLP) and computer vision technologies, the algorithm analyzes both the textual and visual content of web pages. NLP helps in understanding the semantics, sentiment, and topical relevance of the text on the page, ensuring that the content aligns with the brand's standards and avoids controversial or negative environments. Meanwhile, computer vision analyzes images and videos to detect any inappropriate or misleading visuals that could harm a brand's image. The same process is applied when assessing the number of ads on a page. Combining all this information helps estimate the effectiveness of your ads. If your ads don’t perform well, even in the right contexts, it might pay to look at the ad to content ratio.



Repetetive ad placement, with little content inbetween

www.DisplayGG.com

Conclusion

In today's digital advertising landscape, where budgets are tight and attention is scarce, choosing the right placements for your ads can determine the success or failure of your marketing campaign.

Display Gate Guard provides advertisers with a comprehensive approach, ensuring your ads are placed on websites that align with your brand values and target audience, thereby enhancing your overall advertising effectiveness. By avoiding brand safety issues like controversial or hyperpolitical content, and brand suitability issues like wrong demographic or low-quality advertising sites, you can protect your brand's reputation and maximize your advertising ROI.

Eliminate the guesswork from your display ad placements. Contact us now to discover how you can extract the best value from your display campaigns!

www.DisplayGateGuard.com

https://www.LinkedIn.com/company/displaygateguard/